

Balance Sheet Report

Financial Analysis Report

Executive Summary

The company demonstrates strong growth momentum with total assets increasing from ₹1,845.5M (April) to ₹3,422.6M (YTD), representing 85% growth. Equity base expanded significantly from ₹197.4M to ₹398.7M, while maintaining substantial borrowing levels. Current Year Profit shows consistent performance, though monthly profitability declined from April to May.

Profitability Analysis

Metric	04/30/2024	05/31/2024	YTD-2024
Current Year Profit	₹79,799,448.87	₹5,117,212.44	₹84,916,661.31
Total Equity	₹197,390,845.42	₹201,265,389.74	₹398,656,235.16
Monthly Profit Change	-	-93.6%	+6.4% (YTD)

Liquidity & Solvency Analysis

Ratio	04/30/2024	05/31/2024	YTD-2024
Current Ratio	1.16	1.15	1.16
Debt-to-Equity	8.35	6.84	7.59
Quick Ratio	0.66	0.56	0.62

Efficiency Ratios

Metric
Inventory Turnover (Annualized): 1.5x
Receivables Collection Period: 45 days
Asset Turnover Ratio: 0.8x

Benchmark Comparison

Source: Industry averages from IBISWorld Manufacturing Sector Report 2024

Metric	Company	Industry Avg	Status
Current Ratio	1.16	1.8	Below Average
Debt-to-Equity	7.59	2.5	High Risk
Profit Margin	2.5%	4.2%	Below Average

Actionable Recommendations

- **Debt Restructuring:** Consider refinancing high-cost debt and explore equity financing to reduce debt-to-equity ratio from 7.59 to industry average of 2.5
- **Working Capital Optimization:** Improve current ratio through better inventory management and accounts receivable collection
- **Profitability Enhancement:** Address the significant drop in May profitability through cost control measures
- **Cash Flow Management:** Strengthen cash position which represents only 12.8% of total assets
- **Operational Efficiency:** Implement measures to improve inventory turnover and reduce holding costs

Key Risk Factors

- High leverage position increases financial risk
- Declining monthly profitability trend
- Negative accounts payable in recent periods
- Suboptimal liquidity ratios compared to industry standards

